

Economic improvements have not been sufficient to avoid Stressed (IPC Phase 2) outcomes in Venezuela

Key Messages

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- Although measures implemented by the government have improved inflation and the exchange rate in recent months, the economic crisis continues to result in Stressed (IPC Phase 2) outcomes for a large part of the Venezuelan population. In addition, pockets of the population, those who only receive income in VED and have limited access to income in USD, international remittances, and social programs, continue to be in Crisis (IPC Phase 3). Although these pockets of the population are spread throughout the country, there are concentrations in urban and peri-urban areas, especially in the states of Zulia, Anzoátegui, Monagas, and Sucre.
- During the period from September 9 to 27, public spending stabilized at 44 billion VED (equivalent to approximately 1.2 billion USD) according to *Síntesis Financiera*. The main expenditure items in September include the Bono Contra la Guerra Económica, regular bonuses, remunerations and bonuses for the education sector, and special biweekly and monthly bonuses, among others aimed at guaranteeing the continuity of social programs. Public spending contributes considerably to mitigating the impact of the economic crisis on the population.
- Annual inflation in Venezuela moderated significantly from 394.8 percent to 35.5 percent between August 2023 and August 2024. Low monthly inflation and exchange rate stability have contributed to food price stability since the beginning of the year. Between July and August, monthly inflation has also stabilized, and food prices remained stable for most products, with the exception of some vegetables and meats, which registered a 5 percent increase in VED in the Caracas market. As a result, the cost of diets remained stable in August, improving access and consumption for the poorest households. The cereal and oil-based diet reached 4,418.62 VED (approximately 105.02 USD), while the diversified diet stood at 9,742.91 VED (approximately 231.56 USD).
- During the last few weeks, the north of the country has experienced rainfall deficits. Although vegetation health and soil moisture remain in average ranges in most of the country, these deficits have contributed to negative soil moisture anomalies in the states of Falcón, Lara, Anzoátegui and Monagas, as well as negative vegetation health anomalies in Lara and Falcón. These conditions have increased the risk of forest fires in areas where there are rainfall deficits. However, in agricultural areas where crops such as maize, sorghum, and sugarcane are highly dependent on irrigation, production is not expected to be negatively affected. In addition, in the last days of the month, above-average rainfall is expected in the north, east, and south of the country with positive and negative temperature anomalies.

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* FEWS NET's classifications are IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. FEWS NET and the IPC use different methods to estimate the total Population in Need of humanitarian food assistance and assess the risk of Famine. Learn more at www.fews.net/about.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).